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17 August, 2016

The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road, off Kilimanjaro Avenue
Upperhill
P O Box 74800
NAIROBI

Dear Sir/Madam

ANNOUNCEMENT

We have pleasure in enclosing 5 copies of an announcement by our Board of Directors in respect of our half year results for 2016.

Yours faithfully


Millicent Onyonyi
MANAGING DIRECTOR

Cc: The Chief Executive Officer
The Nairobi Stock Exchange
55 Westlands Road
Westlands
NAIROBI

The Chief Executive Officer
Central Depository & Settlement
Corp. Limited
10th Floor Nation Centre
Kimathi Street
NAIROBI

BOC Kenya Limited is a Member of The Linde Group

Directors: N. Kiuna (Chairman), M. Onyonyi (Managing Director), M. Kruger*, N. Adams*, R. Mbugua, L. Njoroge, A. Kamau, C. Wetende

*South African

UNAUDITED GROUP RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2016

The Directors of BOC Kenya Limited are pleased to announce the unaudited Group results for the six-month period ended 30 June 2016

Summarised consolidated income statement
For the six-month period ended 30 June 2016

	2016 KShs '000	2015 KShs '000
Revenue	539,876	556,529
Earnings before finance income and taxes	75,775	77,763
Net finance income	24,812	26,008
Exchange Gains/(Losses)	(4,368)	(10,521)
Profit before tax	96,217	93,250
Income tax expense	(28,101)	(28,106)
Profit for the year	68,116	65,144
Basic earnings per share	3.49	3.34

Dividend for the period		
Interim	Kshs 2.20	Kshs 2.20

Summarised consolidated statement of financial position
As at 30 June 2016

	2016 KShs '000	2015 KShs '000
ASSETS		
Non-current assets	1,015,880	1,047,703
Current assets	1,283,823	1,184,195
Total assets	2,298,703	2,231,898
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,457,082	1,361,316
Capital and other reserves	190,756	234,927
Total equity	1,745,465	1,693,870
Non-current liabilities	-	-
Current liabilities	553,238	538,028
Total liabilities	553,238	538,028
Total equity and liabilities	2,298,703	2,231,898

Summarised consolidated statement of cash flows
For the six-month period ended 30 June 2016

	2016 KShs'000	2015 KShs'000
Cash generated from operations	68,221	96,786
Interest & Dividends received	24,811	26,143
Tax paid	(35,784)	(13,295)
Net cash from operating activities	57,248	109,634
Cash used in investing activities	(305,903)	(225,650)
Cash used in financing activities (Dividends paid)	-	(58,576)
Increase/(Decrease) in cash and cash equivalents	(248,655)	(174,592)
Cash & cash equivalents:		
At beginning of the period	400,568	478,158
Net(decrease) / increase	(248,655)	(174,592)
Effect of exchange rates	(19,112)	(13,436)
At the end of the period	132,801	290,130

Summarised consolidated statement of changes in equity
For the six-month period ended 30 June 2016

	2016 KShs'000	2015 KShs'000
At 1 January	1,714,106	1,747,188
Net profit for the period	68,116	65,144
Change in available for sale financial assets	(36,734)	(51,975)
Translation differences	(23)	(7,911)
Dividends paid	-	(58,576)
At 30 June	1,745,465	1,693,870

Overview:

Revenue for the six-month period ended 30 June 2016 at Kshs.539.8 million, was down 3% from the prior year due to revenue reductions occasioned by increasing supplies of cheap imported welding products, accessories and counterfeiting of the Company's gases through illegal filling. Profit after tax increased 4.5% due to better cost and working capital management as well as a modest decrease in electricity prices.

The financial statements have been prepared on the basis of the same accounting policies as in the previous audited accounts.

Outlook:

Though the market continues to be very competitive, the Board expects that an increased focus on sales and marketing capability and effectiveness, will arrest the decline in turnover. However the Board expects the second half of the year to be challenging due to price undercutting by competitors to win market share.

The Company will continue with its focus of providing customers with products that meet expected quality and safety standards, which is critical in the gases business, at the most competitive prices.

Dividend:

The Board of directors has declared an interim dividend of Kshs 2.20 per share for the six-month period ended 30 June 2016 (2015, Kshs. 2.20), to be paid out on or around 3 October 2016 to shareholders on the register at close of business on 7 October 2016.

BY ORDER OF THE BOARD

RUTH NGOBI
COMPANY SECRETARY
BOC KENYA LIMITED

17 August 2016